

SETTLEMENT AND RELEASE AGREEMENT

(DEED IN LIEU OF FORECLOSURE — WITH EQUITY TRUE-UP)

DRAFT — NOT FOR USE. Must be reviewed and approved by a licensed Texas real estate attorney before use. The bankruptcy avoidance, non-merger, lien-priority, and release provisions require counsel's review. This document is executed only **after** default, as part of a negotiated workout. It is not a closing document.

This Settlement and Release Agreement (this "**Agreement**") is entered into as of **{{SETTLEMENT_DATE}}** by and between:

LAZY DOG CAPITAL LLC, a Texas limited liability company, 3400 N Central Expy #110-217, Richardson, TX 75080 ("**Lender**");

{{BORROWER_ENTITY}}, a **{{BORROWER_ENTITY_TYPE}}** ("**Borrower**"); and

{{GUARANTOR_NAMES}}, individually and collectively ("**Guarantor**").

RECITALS

A. On **{{CLOSING_DATE}}**, Lender made a loan to Borrower in the original principal amount of **{{LOAN_AMOUNT}}** (the "**Loan**"), evidenced by a Promissory Note (the "**Note**") and secured by a Deed of Trust (the "**Deed of Trust**") recorded as Instrument No. **{{DOT_INSTRUMENT_NO}}** in the Official Public Records of **{{COUNTY}}** County, Texas, covering the property described on **Exhibit A** and commonly known as **{{PROPERTY_ADDRESS}}** (the "**Property**").

B. Guarantor executed a Personal Guarantee of the Loan dated **{{CLOSING_DATE}}** (the "**Guarantee**").

C. Borrower is in default under the Loan Documents. The specific default is: **{{DEFAULT_DESCRIPTION}}**. Notice of default was given on **{{DEFAULT_NOTICE_DATE}}** and any applicable cure period has expired.

D. As of **{{SETTLEMENT_DATE}}**, the total amount owed under the Loan Documents is \$ **{{TOTAL_DEBT}}**, itemized on **Exhibit B** (the "**Total Debt**").

E. Lender is entitled to enforce its remedies, including acceleration and non-judicial foreclosure under Texas Property Code § 51.002.

F. Rather than proceed to foreclosure, Borrower has requested and Lender has agreed to accept a conveyance of the Property in lieu of foreclosure, on the terms stated in this Agreement. Borrower has approached Lender voluntarily and desires to resolve the Loan without a foreclosure sale.

G. The Property is in a partially completed condition and its current fair market value cannot be determined with certainty. The parties have therefore agreed to the true-up mechanism in Section 4, under which Borrower will receive any surplus realized on a future sale of the Property, in lieu of any present payment for equity.

H. Borrower and Guarantor have had the opportunity to consult independent legal counsel of their own choosing regarding this Agreement.

NOW, THEREFORE, in consideration of the mutual covenants below and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows.

1. CONVEYANCE OF THE PROPERTY

1.1 Concurrently with this Agreement, Borrower shall execute, acknowledge, and deliver to Lender:

- (a)** a Special Warranty Deed conveying the Property to Lender or its designee;
- (b)** an Estoppel Affidavit in the form attached;
- (c)** a Bill of Sale and Assignment of Contracts, Permits, Plans and Warranties covering all personal property, fixtures, materials on site, construction contracts, permits, plans, specifications, and warranties relating to the Property; and
- (d)** such other documents as the title company reasonably requires.

1.2 Absolute conveyance. The conveyance is **absolute and unconditional**. It is not a mortgage, a pledge, a security device, or a transfer for security purposes, and Borrower retains no right, title, interest, or equity of redemption in the Property except the contractual right to the True-Up Payment under Section 4.

1.3 Possession. Borrower shall deliver possession of the Property, together with all keys, access codes, lockbox combinations, and construction documents, on or before {{POSSESSION_DATE}}. Borrower shall leave the Property in its current condition, free of debris other than construction materials, and shall not remove any fixtures, appliances, materials, or improvements.

1.4 Voluntary. Borrower and Guarantor each represent that the conveyance is made voluntarily, without coercion, duress, or undue influence by Lender, and after adequate opportunity to consider alternatives, including allowing a foreclosure sale to proceed.

2. CONSIDERATION FROM LENDER

In exchange for the conveyance and the other agreements of Borrower and Guarantor, Lender agrees as follows. **Check each item that applies; unchecked items are not part of this Agreement.**

☐ **2.1 Release of Guarantee.** Upon Lender's acceptance and recording of the Special Warranty Deed, Lender releases each Guarantor from all liability under the Guarantee, subject only to Section 6.4.

☐ **2.2 Waiver of deficiency.** Lender waives any deficiency remaining under the Note after the conveyance and will not seek a money judgment against Borrower or Guarantor for the unpaid balance, subject only to Section 6.4.

□ **2.3 Other.** {{OTHER_CONSIDERATION}}

2.4 Credit reporting. Lender makes **no commitment** regarding credit reporting. Whether Lender furnishes information to any consumer reporting agency, and the manner and timing of any such reporting, is in Lender's **sole and absolute discretion**. Any information Lender does furnish will be accurate and will comply with the Fair Credit Reporting Act and other applicable law, and Lender will not furnish inaccurate information or suppress accurate information it is otherwise required to report. Lender makes no representation as to how any reporting or absence of reporting will affect any credit score or credit availability, and no statement by Lender or its agents outside this Agreement regarding credit reporting is binding. **Credit reporting is not consideration for this Agreement, and no obligation of Borrower or Guarantor is conditioned on it.**

3. EQUITY TRUE-UP — DEFINITIONS

For purposes of Section 4:

3.1 "True-Up Period" means the **twelve (12) months** beginning on the date the Special Warranty Deed is recorded.

3.2 "Qualifying Sale" means a sale of the Property to a bona fide third-party purchaser in an arm's-length transaction that closes during the True-Up Period. A transfer to Lender's affiliate, member, manager, or related party is not a Qualifying Sale; Section 4.4 governs those transfers.

3.3 "Gross Sale Price" means the total contract price paid by the purchaser in a Qualifying Sale.

3.4 "Total Debt" means the amount stated in Recital D and itemized on Exhibit B, consisting of unpaid principal, accrued interest at the contract rate, accrued interest at the default rate, late charges, advances made by Lender for taxes, insurance, utilities, securing the Property, or protecting the lien, and all fees, costs, and expenses recoverable under the Loan Documents, **plus** interest that continues to accrue at the default rate of {{DEFAULT_RATE}}% per annum from {{SETTLEMENT_DATE}} through the closing of the Qualifying Sale.

3.5 "Completion Costs" means all amounts actually paid or incurred by Lender to complete, repair, remediate, or make marketable the improvements on the Property, including labor, materials, contractor fees, architectural and engineering fees, permit fees, and amounts paid to resolve any lien, code violation, or municipal action. Lender shall maintain invoices, contracts, and proof of payment supporting Completion Costs **in its own records**; Section 4.2 governs what Lender must deliver to Borrower.

3.6 "Carrying Costs" means all amounts actually paid or incurred by Lender from the recording date through the closing of the Qualifying Sale for ad valorem taxes, property and liability insurance, utilities, homeowners' association dues and assessments, security and property preservation, maintenance and landscaping, and property management.

3.7 "Selling Costs" means all costs of sale actually paid or incurred by Lender, including real estate brokerage commissions payable to the listing broker and to any cooperating or buyer's broker, title and escrow charges, the owner's title policy premium and any endorsements, transfer taxes and recording fees, survey, home warranty, seller-paid closing costs, concessions, and repair credits, and attorneys' fees incurred in connection with the Qualifying Sale.

3.8 "Disposition Fee" means an amount equal to **{{DISPOSITION_FEE_PCT}}%** of the **Gross Sale Price**, retained by Lender as compensation for managing the completion, marketing, and disposition of the Property.

3.9 "Surplus" means the amount, if any, by which the Gross Sale Price exceeds the sum of the Total Debt, Completion Costs, Carrying Costs, Selling Costs, and the Disposition Fee. If that sum equals or exceeds the Gross Sale Price, the Surplus is zero.

4. EQUITY TRUE-UP — PAYMENT

4.1 Payment of Surplus. If a Qualifying Sale closes during the True-Up Period, Lender shall pay Borrower **one hundred percent (100%) of the Surplus** within thirty (30) days after Lender's receipt of the sale proceeds.

4.2 Accounting. With the payment, or within thirty (30) days after the closing of a Qualifying Sale that produces no Surplus, Lender shall deliver to Borrower a **summary statement** showing the Gross Sale Price and a single total for each category of deduction — Total Debt, Completion Costs, Carrying Costs, Selling Costs, and the Disposition Fee — and the resulting Surplus, if any. **Lender is not required to deliver invoices, receipts, contracts, or other supporting documentation.** Lender's calculation of the Surplus, made in good faith, is final, conclusive, and binding on Borrower.

4.3 No sale during the True-Up Period. If no Qualifying Sale closes during the True-Up Period, no True-Up Payment is due and Lender has no further obligation under Sections 3 or 4. Lender is under no obligation to market, list, complete, or sell the Property, or to sell at any particular price or within any particular time.

4.4 Non-arm's-length transfer. If Lender transfers the Property to an affiliate, member, manager, or related party during the True-Up Period, the transfer is not a Qualifying Sale, but Lender shall obtain an appraisal from a Texas-licensed appraiser selected by Lender and reasonably acceptable to Borrower, and shall calculate the Surplus using the appraised value in place of the Gross Sale Price. Payment is due within thirty (30) days after the transfer.

4.5 Lender's discretion. Lender has sole and absolute discretion over the scope, cost, timing, and manner of completing, improving, marketing, and selling the Property, and over whether to sell at all. Borrower has no approval right and no right to direct Lender's decisions. Borrower acknowledges that Lender's decisions may reduce or eliminate any Surplus and waives any claim arising from those decisions absent gross negligence or willful misconduct.

4.6 No interest; unsecured obligation. No interest accrues on any Surplus. Lender's obligation under this Section is a **general unsecured contractual obligation** of Lender. It is not secured by the Property, creates no lien or equitable interest in the Property, and does not constitute a retained interest, right of redemption, or reversion in favor of Borrower. Borrower shall not record this Agreement or any memorandum of it, and shall not file any lis pendens or other instrument asserting an interest in the Property.

4.7 Assignment. Borrower may not assign its right to a True-Up Payment without Lender's prior written consent.

4.8 Setoff. Lender may set off against any Surplus any amount Borrower or Guarantor owes Lender that is not released under Section 2, including amounts arising under Section 6.4.

5. NON-MERGER AND PRESERVATION OF LIEN

5.1 The Note, the Deed of Trust, and the lien created by the Deed of Trust **shall not merge** into the fee title acquired by Lender. The Deed of Trust lien remains in full force and effect, separate and distinct from the fee estate, until Lender expressly releases it in a recorded instrument.

5.2 The parties intend that the Deed of Trust lien survive so that Lender may, at its option, foreclose the Deed of Trust to extinguish any junior lien, encumbrance, or claim against the Property. Lender's acceptance of the Deed does not satisfy the Note except to the extent expressly stated in Section 2.

5.3 If the conveyance is avoided, set aside, or rescinded by any court, trustee, or other party, the Note, Deed of Trust, Guarantee, and all Loan Documents are automatically reinstated in full, with the same priority they held immediately before the conveyance, and the releases in Section 2 are void. Any period during which the conveyance was in effect is excluded from the running of any limitations period.

6. RELEASES

6.1 Lender's release. Effective upon Lender's acceptance and recording of the Special Warranty Deed, and subject to Sections 2, 5.3, and 6.4, Lender releases Borrower and Guarantor from all claims arising under the Loan Documents.

6.2 Borrower's release. Borrower and Guarantor each release Lender, its members, managers, employees, agents, attorneys, capital partners, successors, and assigns from all claims, known or unknown, arising out of or relating to the Loan, the Loan Documents, the Property, the servicing or administration of the Loan, the default, this Agreement, and the conveyance — **except** Lender's obligations under Sections 2 and 4 of this Agreement.

6.3 Unknown claims. Each releasing party acknowledges that it may later discover facts different from or in addition to those it now believes to be true, and each intends its release to be a full and final release of all claims, whether or not now known or suspected.

6.4 Claims not released. Nothing releases any claim of Lender arising from: (a) fraud or intentional misrepresentation by Borrower or Guarantor; (b) waste, intentional damage, or removal of fixtures or materials from the Property; (c) misapplication of draw proceeds; (d) environmental contamination caused or knowingly permitted by Borrower; or (e) breach of any representation in this Agreement or the Estoppel Affidavit.

7. BANKRUPTCY ACKNOWLEDGMENTS

7.1 Borrower represents that it is not contemplating and has no present intent to file, and has not been advised to file, any petition under the United States Bankruptcy Code, and that no involuntary petition has been filed or threatened against it.

7.2 Borrower represents that it is not making this conveyance with any intent to hinder, delay, or defraud any creditor, and that the creditors and liens listed in the Estoppel Affidavit are complete and accurate.

7.3 Borrower acknowledges that Lender is relying on these representations in agreeing to accept the conveyance rather than proceed to foreclosure.

8. MISCELLANEOUS

8.1 Notices. Written notice by certified mail return receipt requested, overnight courier, or hand delivery to the addresses above, with courtesy copy by email. Effective on the earlier of actual receipt or three days after mailing.

8.2 Governing law and venue. Texas law governs. Venue lies exclusively in {{COUNTY}} County, Texas.

8.3 Entire agreement. This Agreement and the documents delivered with it are the entire agreement between the parties on this subject and supersede all prior discussions. There are no side agreements, oral or written. Amendment only by written instrument signed by all parties.

8.4 Severability. If any provision is held invalid or unenforceable, the remainder stays in effect. **A determination that Section 3 or 4 is invalid or unenforceable does not affect the validity of the conveyance, the releases in Section 2, or Section 5.**

8.5 No admission. Nothing here is an admission of liability or wrongdoing by any party.

8.6 Further assurances. Each party shall execute such further documents as reasonably necessary to carry out this Agreement.

8.7 Counterparts; electronic signatures. May be executed in counterparts. Electronic signatures have the same effect as originals.

8.8 Construction. Headings are for convenience. Negotiated by the parties; not construed against either as drafter.

8.9 Survival. Sections 3, 4, 5, 6, and 7 survive the conveyance.

9. ACKNOWLEDGMENT

BORROWER AND GUARANTOR EACH ACKNOWLEDGE THAT THEY HAVE READ THIS AGREEMENT IN FULL, HAVE HAD THE OPPORTUNITY TO CONSULT INDEPENDENT LEGAL COUNSEL OF THEIR OWN CHOOSING, UNDERSTAND THAT THE CONVEYANCE OF THE PROPERTY IS ABSOLUTE AND NOT A MORTGAGE, UNDERSTAND THAT THEY ARE GIVING UP ALL OWNERSHIP OF THE PROPERTY, UNDERSTAND THAT THEIR ONLY RIGHT TO ANY FUTURE VALUE IS THE UNSECURED CONTRACTUAL TRUE-UP RIGHT IN SECTION 4, AND ARE SIGNING VOLUNTARILY.

SIGNATURES

BORROWER

{{BORROWER_ENTITY}}

By: _____ Date: _____

Name: _____

Title: _____

GUARANTOR

_____ Date: _____

Name: {{GUARANTOR_1_NAME}}

_____ Date: _____

Name: {{GUARANTOR_2_NAME}}

LENDER

LAZY DOG CAPITAL LLC

By: _____ Date: _____

Name: Lewis McKnight, Manager

By: _____ Date: _____

Name: Stephen Maner, Manager

Exhibit A — Legal Description (*verbatim from title commitment Schedule A*)

Exhibit B — Itemized Statement of Total Debt as of {{SETTLEMENT_DATE}}

Lazy Dog Capital LLC · 3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989

TOKENS

{{SETTLEMENT_DATE}} · {{BORROWER_ENTITY}} · {{BORROWER_ENTITY_TYPE}} ·
{{GUARANTOR_NAMES}} · {{GUARANTOR_1_NAME}} · {{GUARANTOR_2_NAME}} ·
{{CLOSING_DATE}} · {{LOAN_AMOUNT}} · {{DOT_INSTRUMENT_NO}} · {{COUNTY}} ·
{{PROPERTY_ADDRESS}} · {{DEFAULT_DESCRIPTION}} · {{DEFAULT_NOTICE_DATE}} ·
{{TOTAL_DEBT}} · {{DEFAULT_RATE}} · {{POSSESSION_DATE}} · {{OTHER_CONSIDERATION}}
· {{DISPOSITION_FEE_PCT}}

{{DISPOSITION_FEE_PCT}} defaults to **5**. Raise it only with a documented reason; a high disposition fee weakens the true-up's defensive value by making a Surplus unlikely to materialize.